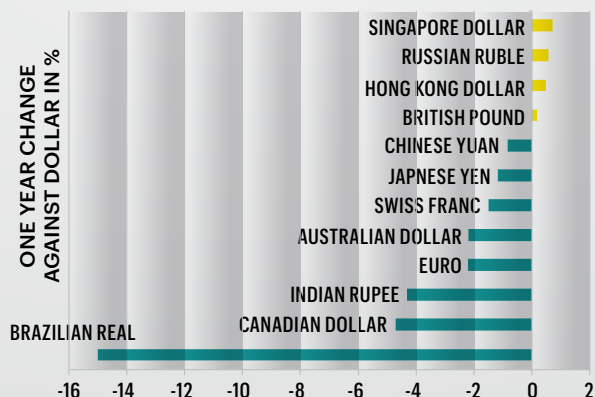


RUPEE VS GLOBAL CURRENCIES

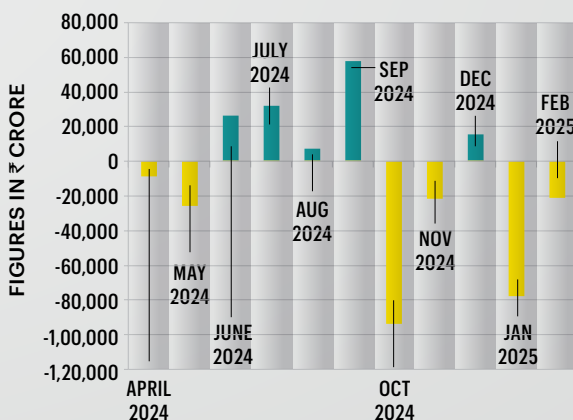
• Most currencies have witnessed a fall in the past one year against the US dollar



SOURCE INVESTING.COM
DATA AS OF FEBRUARY 14, 2025

UNABATED SELLING

• Further depreciation of the rupee may trigger more outflows by foreign investors, who have sold nearly ₹2 lakh crore worth of shares since October



SOURCE ACE EQUITY
DATA AS OF FEBRUARY 14, 2025

inflationary, which suggests that interest rates may remain elevated for an extended period.”

Per the RBI's estimates, a 5% weaker rupee leads to about a 35 basis points increase in headline inflation.

However, economists believe that inflation is unlikely to spike because of a weaker rupee. “The impact this time is likely to be lesser on two counts. First, India's moderating growth is likely to limit pricing power. Second, if trade war hits China, increased exports from China to rest of the world (excluding the US) are likely to keep global commodity prices under check,” Sahay of Standard Chartered.

Radhika Rao, Executive Director and Senior Economist at Singapore-headquartered DBS Bank, points out that manufacturers are unlikely to immediately and fully pass on costs to customers, considering the cyclical slowdown that the country is grappling with.

“The risk of higher oil prices being transmitted to local fuel prices remains limited, as the authorities are expected to prioritise keeping domestic petrol and diesel prices stable to preserve household purchasing power,” Rao says. She highlights the host of measures taken to ease liquidity and says this suggests that there is less focus on maintaining high interest rates purely to defend against currency depreciation.

Stock market analysts believe investors should keep an eye on export-oriented sectors as the rupee is hovering at all-time lows. The local currency has also faced pressure from foreign institutional investors' persistent selling of Indian equities. Global investors offloaded shares worth more than ₹1.65 lakh crore in just four months till January 2025.

Anirudh Garg, Partner and Fund Manager at Invas-set PMS, says the depreciating rupee can negatively influence market sentiment, particularly foreign investors. “As the rupee falls, foreign investors' returns may decline in dollar terms, prompting them to shift their investments to other stable or higher-yield markets, which can lead to capital outflows from India.”

Feroze Azeez, Deputy CEO of wealth management firm Anand Rathi Wealth, says the increase in import costs could particularly impact the profit margins of companies in the oil and gas, chemicals, pharmaceuticals, and electronics sectors. “Costlier imports may impact domestic inflation partially. FIIs might also pull out further in fear of currency loss, which can partially impact the market.”

Another outcome of a weaker rupee to consider is the increase in the cost of overseas debt, particularly in instruments like foreign currency convertible